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Kuwait Law No. 125/2023
On the Regulation of the Real Estate Power of Attorney

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After perusal of the Constitution;

Kuwait Emiri Decree No. 5/1959 on the Real Estate Registration Law, and its amending laws;

Kuwait Law No. 30/1965 on the establishment of Kuwait Credit Bank, and its amending laws;

Kuwait Decree-Law No. 67/1980 promulgating the Civil Code, amended by Law No. 15/1996;

Kuwait Law No. 67/1983 on the General Authority for Minors Affairs;

Kuwait Law No. 47/1993 on housing welfare, and its amending laws;

Kuwait Law No. 50/1994 on the use of plots and houses allocated for private housing purposes, amended by Kuwait Law No. 8/2008;

Kuwait Law No. 20/2016 on the determination of the tariff of electricity and water units;

Kuwait Law No. 21/2019 on the real estate register system; and

Kuwait Law No. 10/2020 on the authentication,

The National Assembly has approved the following Law, which we have ratified and promulgated:

Article 1 - Definitions

In the implementation of the provisions of this Law, the following terms shall have the meanings assigned against each:

Minister: The Minister of Justice.

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Real Estate Power of Attorney: A contract by virtue of which the principal authorises another person to represent him in the initiation of any legal disposition of transfer of ownership of a real estate, and the impacts of such disposition shall be in the interest of the agent or third parties.

Implementing Regulation: The Implementing Regulation of this Law.

Article 2

Every real estate owner may authorise another person to initiate the legal dispositions related to his properties, according to the provisions of the power of attorney stipulated in Kuwait Decree-Law No. 67/1980 on the issuance of the Civil Code as well as Kuwait Emiri Decree No. 5/1959 on the Real Estate Registration Law. Notwithstanding the provisions of aforementioned Kuwait Decree-Law No. 67/1980, a Real Estate Power of Attorney may not be irrevocable in any case whatsoever.

Article 3

The Implementing Regulation of this Law determines the conditions, controls and prohibitions related to the Real Estate Power of Attorney.

Article 4 - Transitional Provisions

The parties of the valid Real Estate Power of Attorney that may not be revoked or cancelled shall be granted, at the time of issuance of this Law, a time-limit of one year from the date of enforcement of this Law to adjust their situation.

In case said time-limit lapses without adjusting their situation, the Real Estate Power of Attorney shall be deemed as a final sale contract without prejudice to the rights of the bona fide third parties and the State.

For the purposes of implementation of this Article, the specifications certificate and the cadastral surveying and marking statement may be issued for the violating real estate subject-matter of the Power of Attorney according to the requirements and controls determined in the Implementing Regulation of this Law.

Article 5

The Minister shall issue the Implementing Regulation of the provisions of this Law within one month from the date of its publication in the Official Gazette.

Article 6

The Prime Minister and Ministers shall, each within his respective competencies, implement the present Law.

Issued at Seif Palace 13 Jumada Al-Akhar 1445 H.

Corresponding to: 26/December/2023

Emir of Kuwait

Mishal Al-Ahmad Al-Jaber Al-Sabah

This Law was published in the Official Gazette, Issue No. 1668, dated 31/12/2023 p. a9.

Explanatory Memorandum of Kuwait Law No. 125/2023 on the Regulation of the Real Estate Power of Attorney

One of the most important matters regulated by the laws is the matter of powers of attorney. A power of attorney is the instrument for replacing the will of the principal with the will of the agent in any legal disposition, while the latter has an impact on the principal or third parties as the case may be. As the conditions of the segments of the society differ, and every segment has its needs and requirements as per the surrounding situation, then the relevant legislation have authorised to carry out dispositions by virtue of a power of attorney, and have determined the relevant conditions, situations and impacts. Such powers of attorney include those that may not be revoked or cancelled, noting that the continuation of use of such irrevocable powers of attorney has resulted in various negative practices and applications that are contrary to the purpose for which such matters arose and have been regulated by laws.

Negative applications include the use of irrevocable powers of attorney in the sale and purchase of real estates, for the purpose of avoiding the payment of the fees that shall be paid to the State concerning the contracts of sale of real estates, in addition to the cases where real estate parties avoid the registration of the property in the Real Estate Register in order to preserve their housing welfare rights. This has caused confusion in the work of the concerned governmental entities, as the law does not prevent the negative use of the power of attorney. Therefore, the present Law was issued to regulate such matters in a specific and clear manner in order to eliminate any confusion and to prevent any wrong applications, and in order to prevent any rivalry from the owners of real estates towards persons eligible for housing welfare while waiting for their turn to get houses for their families, as it is necessary to accelerate the distribution of housing units to the persons eligible for housing welfare.

This Law consists of six articles; the first one includes definitions such as the definition of the real estate power of attorney as an instrument authorising the dispositions of transfer of ownership in the interest of the agent - in a manner that authorises the agent to contract with himself or with third parties. In all cases, the power of attorney may not be irrevocable according to Article 2 of the Law, regardless of the provisions of the powers of attorney in the Civil Code.

Article 3 stipulated that the Implementing Regulation determines the conditions, controls and requirements of the real estate powers of attorney.

Article 4 determined a time-limit for the persons holding valid powers of attorney at the time of issuance of the Law, in order to adjust their situation according to the new terms, otherwise the Real Estate Power of Attorney shall be deemed as a final sale contract without prejudice to the rights of the bona fide third parties and the State in case of the lapse of the prescribed duration without adjusting their situation.

For the purpose of accelerating and ensuring the transfer of ownership of the real estate subject-matter of the power of attorney within the duration prescribed and without any obstacles, the legislator stipulated that the specifications certificate and the cadastral surveying and marking statement may be issued for the violating real estate subject-matter of the Power of Attorney according to the requirements and controls determined in the Implementing Regulation of this Law.

Article 5 stipulated that the Minister of Justice shall issue the Implementing Regulation within one month from the date of publication of the Law.